

Aligning Performance with Business Outcomes



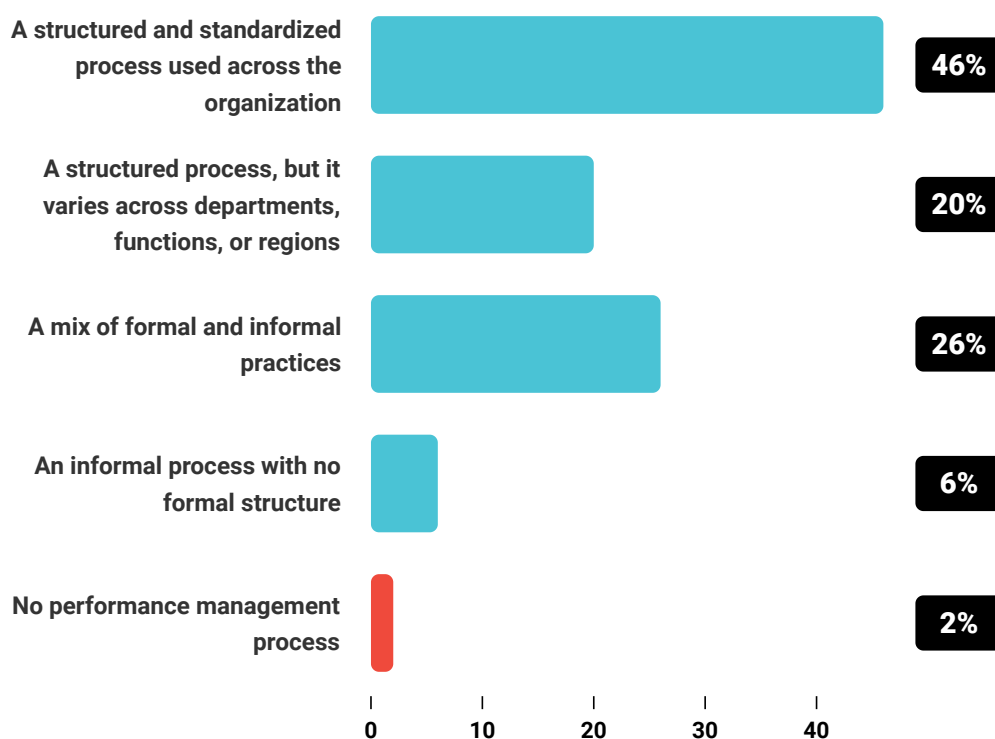
Finding: Nearly half indicate their PM process is structured and formalized

Two-thirds have a structured PM process; for some, it is standardized across the organization, while others vary it between units. Few organizations (2%) do not have a performance management process. Performance management processes are frequently criticized, yet almost all organizations believe they need them.

By Organization Size

Performance management becomes more structured as organizations grow. Large organizations are more than twice as likely as small organizations to report a structured process that varies across departments or regions (26% vs. 12%). Small organizations are also the only group where some respondents report having no performance management process at all (7%).

**Which of the following best describes your organization's performance management approach?
(select the one that best applies)**



Editor's Note: In the original data, 2% of respondents stated that they "don't know." We removed those responses and recalculated, so this only shows percentages for those who answered the question substantively.



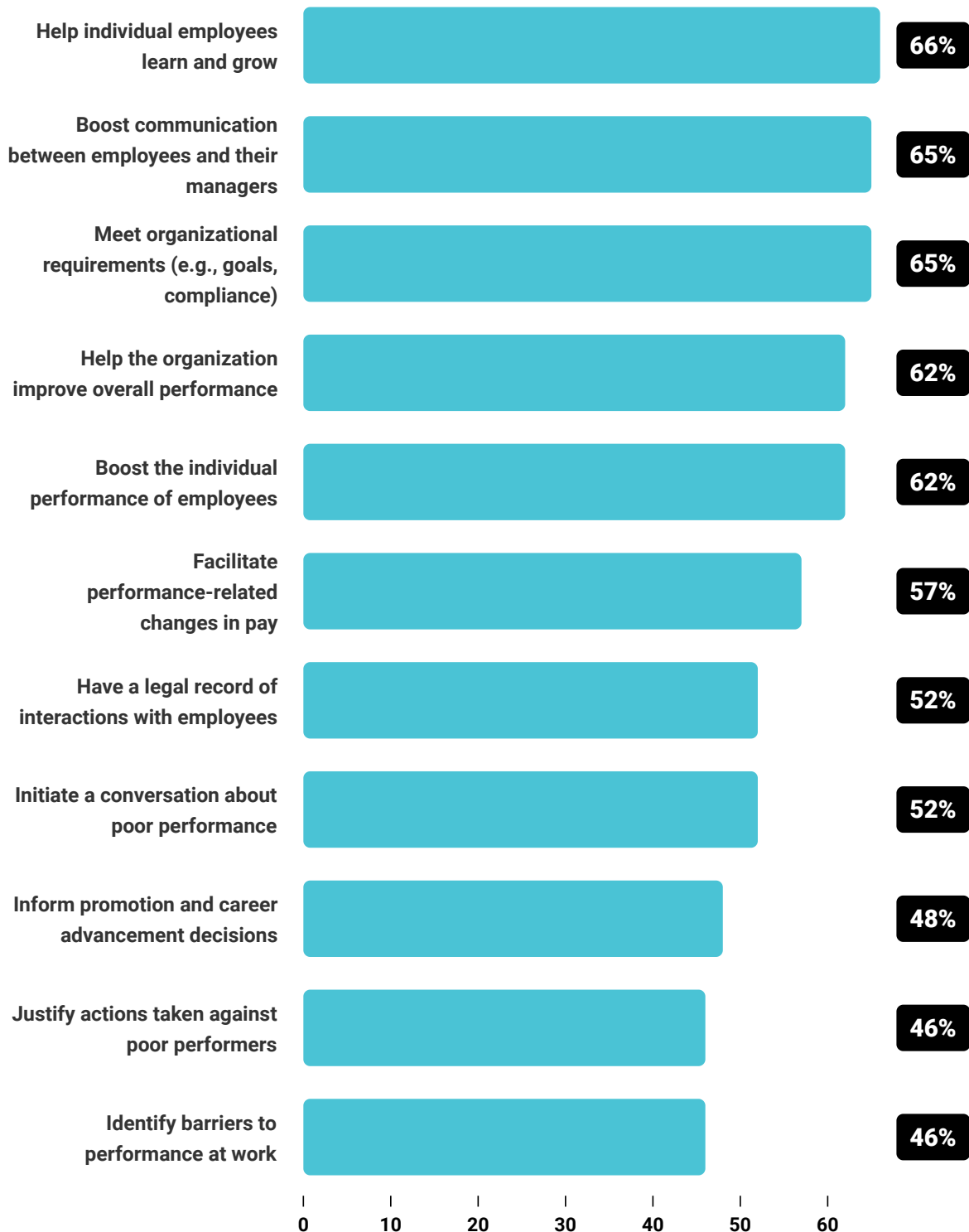
Finding: Learning, communication, and organizational requirements are among the top objectives of performance management

We asked respondents about the objectives of their performance management processes. One of the striking features of performance management is that it is meant to achieve many different goals. The top five objectives are:

- help individual employees learn and grow
- meet organizational requirements (e.g., goals, compliance)
- boost communication between employees and their managers
- help the organization improve overall performance
- boost the individual performance of employees

These objectives tend to be mutually reinforcing, that is, progress on one typically drives progress on the others. Organizations don't necessarily need to choose between these goals, but can instead design a single, well-integrated process that advances all five simultaneously.

Which of the following are objectives of the performance management process in your organization? (select all that apply)





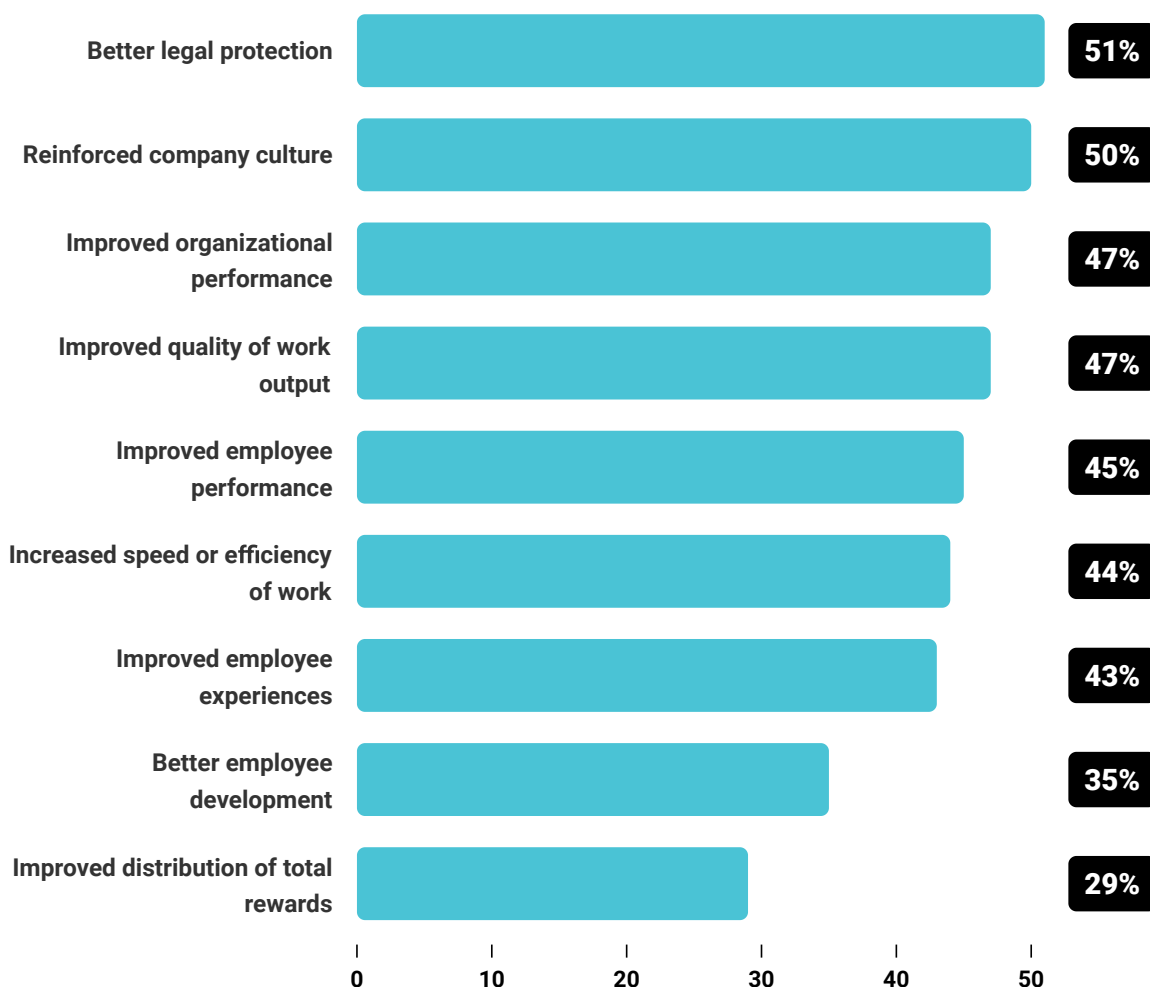
Finding: Better legal protection and reinforced company culture are the two most common outcomes of performance management

Half of respondents in organizations with some form of PM process say their performance management and/or leadership approach strengthens legal protections to a high or very high degree. A similar number say that it strengthens company culture to a high or very high degree.

It's worth noting, however, that 43% say the ability to manage and lead performance results in improved employee experience. Yet advisory board members caution that this connection isn't automatic. Andrew Lane, Director, PM and Employee Engagement at George Mason University, says, "We're starting to really try to link performance and engagement to employee experience. It's a struggle, because supervisors are already in the weeds doing their own daily job, not the management component."

That struggle helps explain why employee experience, though a meaningful outcome for some organizations, hasn't yet emerged as one of the objectives cited by half or more of respondents.

To what degree does your organization's ability to manage and/or lead performance result in the following? (percent responding high or very high)



Editor's Note: In the original data, 4% to 13% of respondents stated that they "don't know." For the purpose of this graph, we removed those responses and recalculated, so only those who answered the question substantively were included.



About a third say their PM processes result in better employee development



Finding: PM leaders have dramatically greater success across a variety of performance indicators

Results of Chi-square Test

A chi-square test of independence shows that PM leaders are significantly more likely than PM laggards to say their PM processes result in all listed outcomes to a high or very high degree.



PM leaders are more than three times more likely than laggards to rate high or very high on improved distribution of rewards

PM leaders are far more likely than laggards to rate high or very high on each of the six results assessed in the chart below. One notable difference is that PM leaders are about four times more likely to achieve better employee development to a high or very high degree (75% vs. 19%).

To what degree does your organization's ability to manage and/or lead performance result in the following? (percent responding high or very high degree)



Editor's Note: In the original data, 0% to 11% of respondents (across the PM leader and laggard groups) stated that they "don't know." We removed those responses and recalculated, so only those who answered the question substantively were included.

HRRI Strategic Recommendations

Based on our research, please consider the following suggestions:

1. Connect employee goals to enterprise priorities.

Among organizations without a culture conducive to performance leadership, limited alignment between individual goals and business priorities is one of the most commonly cited barriers. Making that link explicit and visible is also how HR earns senior leadership's confidence that PM is more than an administrative exercise.

2. Regularly diagnose where the PM process is breaking down.

Among organizations struggling with performance leadership culture, barriers are numerous and often compounding—lack of training, manager time constraints, resistance to change, and poor communication all rank highly. Build in a regular audit of the process, by team, by manager, by outcome, so HR can target interventions.

3. Design a single, integrated PM process rather than a patchwork of initiatives.

Five distinct objectives (learning and growth, communication, organizational requirements, org performance, and individual performance) are each cited by over 60% of organizations, and these goals tend to reinforce one another. Rather than running separate efforts for each, build one well-integrated process that advances all of them together.